

Wasson Brothers (WB) is a large U.S. based conglomerate with many subsidiaries in both the U.S. and abroad. One of WB's wholly-owned foreign subsidiaries, Kasamatsu Industries, is based in Japan and manufactures a hugely successful line of trading cards, toys, and other related products. All of Kasamatsu's operations and sales take place in Japan, and the corresponding transactions are denominated in Japanese yen. Additionally, Kasamatsu's books and records are all maintained in yen. WB reports its earnings in U.S. dollars. The history of the exchange rate between the dollar and the yen over the last two years is presented in the following table. Figures are presented in Yen/dollars.

Yen/Dollar Exchange Rate	
December 31, 2005	150
December 31, 2004	130
2005 Average	140
2004 Average	120
Exchange rate on date that 2005 dividends were declared by Kasmatsu	145
Exchange rate on date of stock issue and acquisition of fixed assets.	100

Ashley Jameson is an analyst with Henderson-Wells, an investment banking firm in New York, and is the chief analyst covering WB. She believes that the enormous success of the trading cards has contributed greatly to WB's bottom line. However, she believes that this effect may be misstated in the company's financial statements because of the recent volatility in exchange rates. Many analysts at other major investment banking firms have been raising their ratings on WB because of the recent earnings growth. Jameson, however, wants to be absolutely certain that these results are accurate and fully attributable to Kasamatsu's hot new product and not a result of an exchange rate fluctuation. The following are the financial statements of Kasamatsu, stated in thousands of yen.

Financial Statements for Year Ending December 31, 2005	
(in thousands of yen)	
Statement of Income and Retained Earnings	

Sales			700,000
Expenses			
	Cost of Goods Sold (COGS)		280,000
	Depreciation		126,000
	SG&A		<u>77,000</u>
		Total Expenses	483,000
Earnings Before Taxes (EBT)			217,000
Income Tax Expense			<u>98,000</u>
Net Income			119,000
Retained Earnings: December 31, 2004			<u>250,000</u>
			369,000
Dividends			<u>58,000</u>
Retained Earnings: December 31, 2005*			311,000
* Retained earnings on 12/31/2005 were US \$2million			

Balance Sheet			
Assets			
	Cash and receivables		60,000
	Inventory		180,000
	Land		200,000
	Fixed assets		<u>346,000</u>
		Total assets	786,000
Liabilities and stockholders' equity			
	Liabilities		300,000
	Capital stock		175,000
	Retained earnings		<u>311,000</u>
		Total liabilities and stockholders' equity	786,000

Question #1 - 2 of 82

Question ID: 1472535

Before Jameson can perform any financial statement analysis she needs to determine which method WB uses to translate Kasamatsu's earnings into U.S. dollars (USD). Which of the following is the *most* appropriate method to use?

- A) First the temporal method, followed by the current rate method. 
- B) The current rate method. 
- C) The temporal method. 

Explanation

The basis for using the current rate method is when Functional Currency is NOT the same as Parent's Presentation (reporting) Currency. The basis for using the temporal method is when Functional Currency = Parent's Presentation Currency.

Under US GAAP the current method must be used to translate the yen financial statements into USD, the reporting currency. Had Kasamatsu been operating in a highly inflationary environment or had the local and functional currency not been the same, then WB would be required to use the temporal method.

(Module 10.4, LOS 10.e)

Question #2 - 2 of 82

Question ID: 1472536

Jameson must also determine how the fluctuation in the yen vs. the dollar has affected Kasamatsu's earnings in the reporting currency. Which of the following *best* describes the effect of changes in the yen/dollar rate has had on earnings in the reporting currency? Earnings have:

- A) decreased because the yen is depreciating versus the USD. 
- B) increased because the yen is depreciating versus the USD. 
- C) increased because the yen is appreciating versus the USD. 

Explanation

Examination of the history of the exchange rate shows that both the year-end and average exchange rates are lower in 2005 than in 2004 (lower in that the yen has weakened vs. the USD). Therefore, Kasamatsu has to earn more yen than it did in the previous year for WB to be able to report the same dollar amount of net income. This means that the true economic performance of Kasamatsu is understated when viewed as a component of WB's net income.

(Module 10.4, LOS 10.e)

Question #3 of 82

Question ID: 1472532

Which of the following statements regarding foreign currency translation are *least* accurate? Under the:

- A) temporal method, sales are remeasured using the average rate. 
- B) current rate method, the foreign currency translation gain or loss appears on the parent firm's income statement. 
- C) temporal method, COGS and depreciation are remeasured using the historical rate. 

Explanation

Under the current rate method, the foreign currency translation gain or loss appears on the parent firm's *balance sheet* in the equity accounts.

(Module 10.4, LOS 10.e)

Question #4 of 82

Question ID: 1472538

Global International Corp. (GIC) has three subsidiaries: GIC Europe whose local currency is the euro and whose functional currency is the euro; GIC China whose local currency is the yuan and whose functional currency is the Hong Kong dollar; and GIC Bahamas whose local currency is the Bahamian dollar and whose functional currency is the U.S. dollar. GIC's reporting currency is the U.S. dollar. Which conversion methods should be used by GIC for each of its subsidiaries?

- A) GIC Europe's data should be remeasured under the temporal method; GIC China's data should be remeasured under the temporal method into Hong Kong dollars, and then translated under the current rate method into U.S. dollars; and GIC Bahamas' data should be translated under the current rate method into U.S. dollars. 
- B) GIC Europe's data should be translated under the current rate method; GIC China's data should be remeasured under the temporal method into Hong Kong dollars, and then translated under the current rate method into U.S. dollars; and GIC Bahamas' data should be remeasured under the temporal method into U.S. dollars. 
- C) The financial data for all three subsidiaries should be remeasured under the temporal method. 

Explanation

The basis for using the current rate method is when Functional Currency is NOT the same as Parent's Presentation (reporting) Currency. The basis for using the temporal method is when Functional Currency = Parent's Presentation Currency.

GIC Europe's data should be translated under the current rate method; GIC China's data should be remeasured under the temporal method into Hong Kong dollars, and then translated under the current rate method into U.S. dollars; and GIC Bahamas' data should be remeasured under the temporal method into U.S. dollars.

(Module 10.4, LOS 10.e)

Question #5 of 82

Question ID: 1472510

Which of the following general statements is *CORRECT* with respect to the temporal method? Monetary assets are:

- A) translated at the current rate.
- B) translated at the average rate.
- C) not translated.



Explanation

As a general rule in using the temporal method, monetary assets are translated using the current rate.

(Module 10.3, LOS 10.e)

Question #6 of 82

Question ID: 1472529

Which of the following statements is *NOT* a characteristic of the current rate method of accounting for foreign currency translation?

- A) All asset accounts are translated at the current rate of exchange as of the balance sheet date.
- B) Nonmonetary liabilities are translated at the historical rate of exchange.
- C) The common stock account is translated at the rate of exchange that applied when the equity was issued.



Explanation

Under the current rate method, all liabilities are translated at the current rate of exchange.

(Module 10.4, LOS 10.e)

Question #7 of 82

Question ID: 1472560

The Herlitzka Company, a U.S. multinational firm, has a 100% stake in a Swiss subsidiary. The Swiss franc (SF) has been determined to be the functional currency. All the common stock of the subsidiary was issued at the beginning of the year and the subsidiary uses the FIFO inventory cost-flow assumption. In addition, the value of the SF is as follows:

Beginning of year	\$0.5902
Average throughout the year	\$0.6002
End of year	\$0.6150

The SF-based balance sheet and income statement data for the Swiss subsidiary are as follows:

Accounts receivable	= 3,000
Inventory	= 4,000
Fixed assets	= 12,000
Accounts payable	= 2,000
Long-term debt	= 5,000
Common stock	= 10,000
Retained earnings	= 2,000
Net income	= 2,000

The translated value of common stock and long-term debt respectively are:

- A) \$6,150 and \$3,075.
- B) \$5,902 and \$3,075.
- C) \$5,902 and \$3,001.



Explanation

The basis for using the current rate method is when Functional Currency is NOT the same as Parent's Presentation (reporting) Currency. The basis for using the temporal method is when Functional Currency = Parent's Presentation Currency.

Since the SF is the functional currency, use the current rate method. Common stock is translated at the historical rate which is the rate that applied when the transaction was made or \$0.5902 and long-term debt is translated at the current rate of \$0.615. $10,000 \times 0.5902 = \$5,902$ for common stock and $5000 \times 0.6150 = \$3,075$ for long term debt.

(Module 10.6, LOS 10.f)

Question #8 of 82

Question ID: 1472487

The local currency is:

- A) the preferred functional currency for subsidiaries that are highly integrated with the parent. 
- B) translated into the functional currency under the current rate method. 
- C) the same as the functional currency under the current rate method. 

Explanation

The local currency is best described as the currency of the country in which the foreign subsidiary is located. If a subsidiary is highly integrated with its parent or operating in a high-inflation environment, the functional currency is the parent's currency. Local currencies are remeasured under the temporal method.

(Module 10.1, LOS 10.a)

Question #9 of 82

Question ID: 1472556

Which of the following statements is *most* accurate concerning foreign currency translation?

- A) In the case in which a firm uses first in, first out (FIFO) inventory valuation, if the local currency depreciates the cost of good sold under the temporal method is less than the cost of goods sold using the current rate method. 
- B) In the case of an appreciating currency, the fixed asset turnover will be lower under the temporal method, as compared to the current rate method. 
- C) The receivables turnover ratio is identical under both the temporal method and the current rate method. 

Explanation

The receivables turnover (sales / receivables) is unaffected because both methods translate sales at the average rate and accounts receivable at the current rate.

When using FIFO and the temporal method we assume that the appropriate rates to use for cost of goods sold (COGS) are the older historical rates. The average rate is used for COGS under the current rate method. If the local currency depreciates, COGS would be higher under the temporal method.

With an appreciating currency the fixed asset turnover ratio (sales / fixed assets) will be higher using the temporal method because the temporal method uses the historical rate for fixed assets whereas the current rate method uses the current rate. They both use the same average rate for sales.

(Module 10.6, LOS 10.f)

Question #10 of 82

Question ID: 1472504

Under the temporal method, the inventory and cost of goods sold (COGS) accounts are both nonmonetary accounts. Which of the following statements is *least* accurate regarding these accounts?

- A) If the firm accounts for inventory using last in, first out (LIFO), then the beginning-of-period rate is used to remeasure COGS. 
- B) The Inventory account is remeasured using the historical rate under both LIFO and FIFO. 
- C) If the firm accounts for inventory using first in, first out (FIFO), then a more recent rate will be applied to the inventory account. 

Explanation

Under LIFO, the last goods purchased are the first goods out to COGS. Hence, although technically the *historical rate* is used to remeasure COGS, a more recent rate is typically more appropriate for COGS under LIFO.

(Module 10.3, LOS 10.e)

Question #11 of 82

Question ID: 1472528

Which of the following statements is *least* accurate regarding accounting for foreign currency translations? The:

- A) current rate method applies the average exchange rate to all income statement accounts. 

- B) temporal method uses the historical exchange rate to translate non-monetary assets and liabilities into the currency of the country of the parent company. 
- C) current rate method applies the current exchange rate to all balance sheet accounts. 

Explanation

The current rate method applies the current exchange rate to all balance sheet accounts except for common stock, *which is translated at a historical rate*.

(Module 10.4, LOS 10.e)

Question #12 of 82

Question ID: 1472545

The Herlitzka Company, a U.S. multinational firm, has a 100% stake in a Swiss subsidiary. The Swiss franc (SF) has been determined to be the functional currency. All the common stock of the subsidiary was issued at the beginning of the year and the subsidiary uses the FIFO inventory cost-flow assumption. In addition, the value of the SF is as follows:

Beginning of year	\$0.5902
Average throughout the year	\$0.6002
End of year	\$0.6150

The SF-based balance sheet and income statement data for the Swiss subsidiary are as follows:

Accounts receivable	= 3,000
Inventory	= 4,000
Fixed assets	= 12,000
Accounts payable	= 2,000
Long-term debt	= 5,000
Common stock	= 10,000
Retained earnings	= 2,000
Net income	= 2,000

The translated value of accounts receivable and inventory respectively are:

A) \$1,845 and \$2,401.



B) \$1,801 and \$2,401.



C) \$1,845 and \$2,460.



Explanation

The basis for using the current rate method is when Functional Currency is NOT the same as Parent's Presentation (reporting) Currency. The basis for using the temporal method is when Functional Currency = Parent's Presentation Currency.

Since the SF is the functional currency, then the current rate method is employed to translate the SF amounts into USD. Hence, $A/R = 0.615 \times 3,000 = \$1,845$ and $0.615 \times 4,000 = \$2,460$.

(Module 10.6, LOS 10.f)

Question #13 of 82

Question ID: 1472498

A Canadian firm owns a foreign subsidiary in the U.S. In 2002, sales were USD1,000,000 and the USD/CAD exchange rate was 0.6329. In 2003, sales were also USD1,000,000 but the exchange rate was 0.7484. What is the impact of the change in the value of the CAD on the parent company's translated sales? Sales will:

A) decrease by 18%.



B) decline by 15%.



C) increase by 18%.



Explanation

While sales were flat at USD 1,000,000 in local currency terms, after translation the parent firm would report sales of CAD 1,336,184 for 2003 ($= \text{USD } 1,000,000 / 0.7484$) versus sales of CAD 1,580,028 for 2002 ($= \text{USD } 1,000,000 / 0.6329$). The 15% sales decline reported by the Canadian firm (CAD 1,336,184 versus CAD 1,580,028) is a flow effect. Even though there was no sales growth in the subsidiary, the parent firm still shows a 15% decrease in revenues from the subsidiary due solely to exchange rate effects. Note that because the subsidiary sales are constant the total exchange rate effect can be measured as $(0.6329 / 0.7484) - 1 = -0.15$.

(Module 10.2, LOS 10.c)

Question #14 of 82

Question ID: 1472569

A hyperinflationary economy is typically defined as one that has:

- A) cumulative inflation that exceeds 100% over a three-year period. 
- B) an inflation rate that exceeds 10% per year for three consecutive years. 
- C) cumulative inflation that exceeds 100% over a twelve-year period. 

Explanation

The typical definition is that cumulative inflation exceeds 100% over a three-year period.

(Module 10.7, LOS 10.g)

Question #15 of 82

Question ID: 1472544

Portinta Inc, a U.S. based pharmaceutical company, has a UK based subsidiary, Medaze plc. The U.S. dollar has been appreciating relative to GBP over the past year. Using the current-rate method to translate a foreign subsidiary's financial statements to U.S. dollars will *most likely* have which of the following effects on the long-term debt to equity ratio relative to what the ratio would have been without the effects of translation?

- A) The ratio will be lower. 
- B) The ratio will be higher. 
- C) The ratio will be the same. 

Explanation

Under the current rate method, both LTD and equity are translated at the current rate of exchange. Hence, since the same rate is applied in both the numerator and denominator, the ratio will not change.

Note: When equity is broken out into separate accounts, common stock is taken at the historical rate. When taken as a whole, equity should be translated at the current rate. In this case we are not given any information on the common stock amount, so we translate equity at the current rate.

(Module 10.6, LOS 10.f)

Question #16 of 82

Question ID: 1472573

Organic growth in sales is *most* accurately defined as growth in sales excluding the effects of:

- A) acquisitions/divestitures only. 

B) acquisitions/divestitures and currency value fluctuations.



C) currency value fluctuations.



Explanation

Organic growth in sales is defined as growth in sales excluding the effects of acquisitions/divestitures and currency effects.

(Module 10.8, LOS 10.i)

Question #17 of 82

Question ID: 1472561

Which example *least accurately* describes pure balance sheet and income statement ratios?

A) The current ratio is a pure balance sheet ratio.



B) When multiplying both the numerator and denominator by the current exchange rate, the current rate is cancelled.



C) All pure balance sheet ratios are affected by the all-current translation method.



Explanation

All pure balance sheet ratios are unaffected by the all-current translation method.

(Module 10.6, LOS 10.f)

Question #18 of 82

Question ID: 1472558

Which of the following statements concerning the translation of a subsidiary's financial statement and the subsidiary's ratios is *least* accurate?

A) The subsidiary's ratios in the local currency will differ from ratios calculated after translation.



B) Ratios calculated under the current rate method will not differ from those calculated under the temporal method.



C) The statement of cash flows is not affected by the choice of translation.



Explanation

Ratios calculated under the current rate method will differ from those calculated under the temporal method.

(Module 10.6, LOS 10.f)

Question #19 of 82

Question ID: 1472506

Under the current rate method, common stock is translated by using the:

- A) present value of weighted average rate.
- B) rate that existed when the equity was issued.
- C) exchange rate as of the balance sheet date.

**Explanation**

The historical rate is used.

(Module 10.3, LOS 10.e)

Question #20 of 82

Question ID: 1477070

Which of the following ratios is unaffected by the choice between the current rate method and the temporal method?

- A) Current ratio.
- B) Inventory turnover.
- C) Quick ratio.

**Explanation**

All of the components of the quick ratio (cash and cash equivalents, accounts receivable, and accounts payable) are converted at the same rate under both methods so the ratio is unaffected by the method. The current ratio is the same as the quick ratio except it also contains inventory which is translated at the historical rate with the temporal method and at the current rate with the current rate method. Inventory turnover ratio and current ratio both would be similarly affected as they rely on the value of inventory.

(Module 10.6, LOS 10.f)

Question #21 of 82

Question ID: 1472539

Regarding the different methods of consolidating foreign subsidiaries' operating results, it would be *most* accurate to state that:

- A) under the temporal method, monetary assets and monetary liabilities are translated at a historical exchange rate. ✗
- B) under the current rate method, revenues and expenses are translated at the exchange rate that existed when the underlying transaction occurred. ✓
- C) under the current rate method, individual components of stockholder's equity are translated at the current exchange rates. ✗

Explanation

Under the current rate method, revenues and expenses are translated at the exchange rate that existed when the underlying transaction occurred. (Though, for practical reasons, an average exchange rate is often used to translate income items.) Under the temporal method, monetary assets and monetary liabilities are translated at the current exchange rate. Under the current rate method, while shareholder's equity (as a whole, including CTA) is translated at the current rate, common stock is translated at historical exchange rate.

(Module 10.5, LOS 10.e)

Question #22 of 82

Question ID: 1472548

Where does the currency translation gain or loss appear in the financial statements under the temporal method and the current rate method?

- | | <u>Temporal
method</u> | <u>Current rate
method</u> | |
|---------------------|----------------------------|--------------------------------|---|
| A) Balance sheet | Balance sheet | | ✗ |
| B) Income statement | | Balance sheet | ✓ |
| C) Balance sheet | | Income statement | ✗ |

Explanation

Currency translation gain or loss appears on the income statement under the temporal method and the balance sheet under the current rate method.

(Module 10.6, LOS 10.f)

Question #23 of 82

Question ID: 1472574

A company is exposed to foreign exchange risk due the impact of changes in currency values on a:

- A) company's assets only. 
- B) company's assets and liabilities only. 
- C) company's assets, liabilities, and future sales. 

Explanation

Foreign exchange risks include the impact of changes in currency values on assets and liabilities of a business, as well as on future sales.

(Module 10.8, LOS 10.j)

Question #24 of 82

Question ID: 1472503

Which of the following statements is *least* accurate regarding the use of the temporal method for foreign exchange accounting?

- A) All monetary assets are translated at the current rate of exchange. 
- B) All nonmonetary assets and liabilities are translated at the historical rate of exchange. 
- C) Under the temporal method, the foreign exchange gain or loss is placed on the balance sheet in the equity section. 

Explanation

Under the temporal method, the foreign exchange gain or loss is placed on the *income statement*.

(Module 10.3, LOS 10.e)

South Seas Inc, a subsidiary of Seven Seas Inc., reported its most recent performance in its local currency (LC) which is the functional currency. The reporting currency of Seven Seas is the U.S. dollar (USD). South Seas also paid a dividend of 16,000LC at year end, at which time the exchange rate was 2 LC/USD. Last year, Seven Seas reported balance sheet retained earnings of 90,000 USD for its South Seas subsidiary.

Rates	LC/US\$

Current rate	2.00
Average rate	2.20
Historical rate for common stock	2.50
Historical rate for COGS	2.30
Historical rate for depreciation	2.10
Historical rate for ending inventory	2.30
Historical rate for fixed assets	2.10

	LC
Revenues	520,000
Cost of Goods Sold (COGS)	225,000
SG&A	100,000
Depreciation	80,000
Income Taxes	46,000
Net Income	69,000

The balance sheet for South Seas is given below.

	LC
Cash	25,000
Accounts Receivable	30,000
Inventory	35,000
Net Fixed Assets	500,000
Total Assets	590,000
Accounts Payable	20,000
Long term debt	100,000
Common Stock	250,000
Retained Earnings	220,000
Total Liabilities & Equity	590,000

Question #25 - 28 of 82

Question ID: 1472517

What is the amount of income Seven Seas should report from its South Seas subsidiary?

- A) 34,500 USD.
- B) 31,400 USD.
- C) 27,600 USD.

**Explanation**

The current rate method is used when the Functional Currency is NOT the same as the Parent's Presentation (reporting) Currency. The temporal method is used when the Functional Currency = the Parent's Presentation Currency.

	LC	Conversion	USD	
Revenues	520,000	/2.20	236,364	average rate
COGS	225,000	/2.20	102,273	average rate
SG&A	100,000	/2.20	45,455	average rate
Depreciation	80,000	/2.20	36,364	average rate
Income Taxes	46,000	/2.20	20,909	average rate
Net Income	69,000		31,364	

(Module 10.4, LOS 10.d)

Question #26 - 28 of 82

Question ID: 1472518

The currency translation adjustment that results from the translation of South Sea's data is *closest* to?

- A) Zero because there is no currency translation adjustment under the current rate method.
- B) -3,300 USD.
- C) 21,600 USD.

**Explanation**

	LC	Conversion	USD	
Cash	25,000	/2.00	12,500	current rate
Accounts Receivable	30,000	/2.00	15,000	current rate
Inventory	35,000	/2.00	17,500	current rate
Net Fixed Assets	500,000	/2.00	250,000	current rate
Total Assets	590,000		295,000	
Accounts Payable	20,000	/2.00	10,000	current rate
Long Term Debt	100,000	/2.00	50,000	current rate
Common Stock	250,000	/2.50	100,000	historical rate
Retained Earnings	220,000		113,364	Note 1
Translation Adjustment			21,636	plug
Total Liabilities & Equity	590,000		295,000	

Note 1: Ending RE = Beginning RE (given USD 90,000) + NI (calculated 31,364) – Div (16000/2 = 8000) = USD 113364

(Module 10.4, LOS 10.d)

Question #27 - 28 of 82

Question ID: 1472519

If the temporal method is used, the retaining earnings is *closest* to:

A) 21,600 USD.



B) 120,800 USD.



C) 90,000 USD.



Explanation

The retained earnings value is the plug figure. The value of total assets is \$280,813. Subtracting the accounts payable, long-term debt, and common stock from the total assets leaves \$120,813.

	LC	Conversion	USD	
Cash	25,000	/2.00	12,500	current rate
Accounts Receivable	30,000	/2.00	15,000	current rate
Inventory	35,000	/2.30	15,217	historical rate for inventory
Net Fixed Assets	500,000	/2.10	238,095	historical rate for fixed assets
Total Assets	590,000		280,813	
Accounts Payable	20,000	/2.00	10,000	current rate
Long Term Debt	100,000	/2.00	50,000	current rate
Common Stock	250,000	/2.50	100,000	historical rate
Retained Earnings	220,000		120,813	280,813 – 10,000 – 50,000 – 100,000
Total Liabilities & Equity	590,000		280,813	

(Module 10.4, LOS 10.d)

Question #28 - 28 of 82

Question ID: 1472520

If the functional currency is the US\$ then the net income before a remeasurement is *closest* to:

A) 8,000 USD.



B) 4,700 USD.



C) 34,100 USD.



Explanation

Adjust the income statement by the appropriate rates. For COGS and depreciation, historical rates were given. Average rate is used for all others.

	LC	Conversion	USD	
Revenues	520,000	/2.20	236,364	average rate
COGS	225,000	/2.30	97,826	historical rate for COGS
SG&A	100,000	/2.20	45,455	average rate
Depreciation	80,000	/2.10	38,095	historical rate for depreciation
Income Taxes	46,000	/2.20	20,909	average rate
Net Income before remeasurement	69,000		34,079	

(Module 10.4, LOS 10.d)

Question #29 of 82

Question ID: 1472565

Under U.S. GAAP, the temporal method is preferred to the current rate method in hyperinflationary economies because the temporal method:

- A)** results in non-monetary asset values that are a better proxy for the economic values of those assets. 
- B)** is easier to perform under hyperinflation. 
- C)** provides better conversions of subsidiary revenues. 

Explanation

The temporal method results in non-monetary asset values that are a better proxy for the economic values of those assets than those obtained under the current rate method. Both methods convert revenues and SG&A at the average rate so there could be no clear preference when considering these measures.

(Module 10.7, LOS 10.g)

Question #30 of 82

Question ID: 1472570

(Assume U.S. GAAP for this question.) For a subsidiary in a hyperinflationary economy, the functional currency should be the:

- A) Parent's currency. 
- B) Local currency. 
- C) Subsidiary's operating currency. 

Explanation

The functional currency should be the parent's currency. Under IFRS, the firm would restate the financials for inflation, and then translate under the current rate method.

(Module 10.7, LOS 10.g)

Question #31 of 82

Question ID: 1472537

The U.S. Deter Company operates a subsidiary in the UK, and the functional currency is the British pound. The subsidiary's 2001 income statement shows £500 of net income and a £50 dividend that was paid on December 31, when the exchange rate was \$1.50 per pound. The current exchange rate is \$1.65 per pound, and the average rate is \$1.58 per pound. What is the change in retained earnings for the period in U.S. dollars under U.S. GAAP?

- A) \$750. 
- B) \$725. 
- C) \$715. 

Explanation

The basis for using the current rate method is when Functional Currency is NOT the same as Parent's Presentation (reporting) Currency. The basis for using the temporal method is when Functional Currency = Parent's Presentation Currency.

Since the functional currency is the local currency, use the current rate method. The net income is translated at the average rate, and dividends are translated at the rate that applied when they were paid. Hence: $1.58(£500) - 1.50(£50) = \715 .

(Module 10.4, LOS 10.e)

Question #32 of 82

Question ID: 1472568

In reality, what *best* describes the real value of non-monetary assets and liabilities in a hyperinflationary environment?

- A)** All non-monetary accounts are re-measured at the current rate. 
- B)** Typically not affected because their local currency-denominated values increase to offset the impact of inflation. 
- C)** Typically not affected because their local currency-denominated values decrease to offset the impact of inflation. 

Explanation

Typically not affected because their local currency-denominated values increase to offset the impact of inflation (i.e., real estate values typically rise with inflation).

(Module 10.7, LOS 10.g)

Question #33 of 82

Question ID: 1472551

Which of the following statements regarding the effects of translation on financial statement items/ratios is *most* accurate?

- A)** Depreciation in the reporting currency under the current rate method is higher than under the temporal method if the local currency has appreciated. 
- B)** Fixed assets are relatively overstated under the temporal method compared to the local currency if the local currency has appreciated. 
- C)** Leverage is higher under the current rate method as compared to under the local currency. 

Explanation

Fixed assets are relatively understated under the temporal method if the local currency appreciates as they are translated at the weaker historic rate. The leverage ratio will be unaltered under the current rate method as it is a pure balance sheet ratio and hence all translated at the current rate.

(Module 10.6, LOS 10.f)

Question #34 of 82

Question ID: 1472563

The Precision Screen Printers (PSP) Company has a foreign subsidiary, the Acer Tool & Die Company, located in the country of Rolivia. The currency of Rolivia is the Chad. The balance sheet and income statement of Acer Tool & Die Company for the year-ended December 31, 20X2, is shown below. The balance sheet has been restated using the U.S. dollar as the functional currency.

Acer Tool & Die Company Balance Sheet As of December 31, 20X2			
	Chad	Exchange Rate	U.S. \$
	(millions)	(Chad/US\$)	(millions)
Cash	20	0.25	\$80
Accounts receivable	30	0.25	120
Inventory	100	0.3125	320
Fixed assets (net)	<u>500</u>	0.3333	<u>1,500</u>
Total assets	650		\$2,020
Accounts payable	50	0.25	\$200
Capital stock	380	0.3333	1,140
Retained earnings	<u>220</u>	--	<u>680</u>
Total liabilities and equity	650		\$2,020

Acer Tool & Die Company Income Statement	
For year ending December 31, 20X2	
(Amounts in millions of Chad)	
Revenues	1,000
Cost of sales	700
Depreciation expense	50
Selling expense	<u>30</u>
Translation gain (or loss)	
Net income	220

The exchange rate at the beginning of 20X2 was 0.3333 Chad/US\$. The exchange rate at the end of 20X2 was 0.25 Chad/US\$. The average rate for 20X2 is 0.3125 Chad/US\$. Beginning inventory is 90 Chad, which was translated to \$270 on the 20X1 balance sheet. Acer Tool & Die uses FIFO inventory valuation and depreciates fixed assets using the straight-line method.

Purchases occurred evenly throughout the year. Assume that retained earnings at year-end 20X1 were zero, the historical exchange rate for depreciation is 0.333, and no dividends were paid during 20X2.

Using the current rate method for the Acer Tool & Die Company, what is the value of total assets after translation?

A) \$1,950.



B) \$2,020.



C) \$2,600.



Explanation

With the current rate method, all balance sheet items except for common stock are translated at the current rate.

$$\text{Total assets} = 650 / 0.25 = \$2,600.$$

(Module 10.6, LOS 10.f)

Question #35 of 82

Question ID: 1472540

Gortal Inc., a U.S. company has a wholly owned subsidiary, Fortina GmbH, based in Germany. The U.S. dollar has been appreciating relative to the Euro over the past year. The use of the temporal method to translate a foreign subsidiary's financial statements to U.S. dollars will *most likely* have which of the following effects on the fixed-asset turnover ratio (S/FA) relative to what the ratio would have been without the effects of translation assuming no new fixed assets were purchased throughout the year?

A) The ratio will be lower.



B) There will be no effect on the ratio.



C) The ratio will be higher.



Explanation

Since the dollar has appreciated, the local currency has depreciated, so each foreign currency unit bought more dollars in the past relative to the present. Fixed assets are remeasured at the historical rate and sales are remeasured at the average rate under the temporal method. Since the historical rate is buying more dollars relative to the average rate, the denominator is staying the same whereas the numerator is getting smaller. Thus, the ratio is lower.

(Module 10.6, LOS 10.f)

Question #36 of 82

Question ID: 1472497

A German company (reporting currency = Euro) owns a foreign subsidiary in the U.S. If the results below are reported in local currency (USD), after translation what is the effect of the change in the exchange rate on revenues? Round to the nearest dollar and/or percent.

Year	Sales	\$ per 1 Euro avg. Exchange Rate
2001	\$10,000	0.9
2002	\$10,000	0.8

- A) The company shows a 0.1% decline in revenues in 2002. 
- B) The company shows a 12.5% growth in revenues in 2002. 
- C) There is no change in revenue growth between 2001 and 2002. 

Explanation

While sales were flat in terms of local currency, after translation the reported revenue increased 12.5%. $10,000/0.9 = 11,111$; $10,000/0.8 = 12,500$; $12,500/11,111 = 12.5\%$ increase due to exchange rate effects.

(Module 10.2, LOS 10.c)

Question #37 of 82

Question ID: 1472541

The Herlitzka Company, a U.S. multinational firm, has a 100% stake in a Swiss subsidiary. The U.S. dollar (USD) has been determined to be the functional currency. All the common stock of the subsidiary was issued at the beginning of the year and the subsidiary uses the weighted-average inventory cost-flow assumption. In addition, the value of the SF is as follows:

Beginning of year	\$0.5902
Average throughout the year	\$0.6002
End of year	\$0.6150

The SF-based balance sheet and income statement data for the Swiss subsidiary are as follows:

Accounts receivable	= 3,000
Inventory	= 4,000
Fixed assets	= 12,000
Accounts payable	= 2,000
Long-term debt	= 5,000
Common stock	= 10,000
Retained earnings	= 2,000
Net income	= 2,000

The total value of net monetary assets is equal to:

- A) 3,000 SF.
- B) 12,000 SF.
- C) -4,000 SF.



Explanation

Monetary assets and liabilities include cash, A/R, A/P and Long-term debt. Hence, net monetary assets is equal to $3,000 - (2,000 + 5,000) = -4,000$ SF.

(Module 10.6, LOS 10.f)

Which of the following currency translation methods is *most* appropriate in a hyperinflationary economy under US GAAP? The:

- A) temporal method because all non-monetary accounts are translated at the historical rate. 
- B) current/non-current method since current assets and liabilities are translated at the current exchange rate. 
- C) current rate method since the translation gain or loss is shown on the income statement. 

Explanation

The temporal rate method is most appropriate because the value of non-monetary assets and liabilities is translated at the historical rate. Under IFRS, the firm restates the financials using an inflation index, and then translates using the current rate method.

(Module 10.3, LOS 10.e)

Question #39 of 82

Question ID: 1472489

Which of the following statements regarding the functional currency is *least* accurate? The functional currency:

- A) is the currency of the primary economic environment in which the foreign subsidiary generates and expends cash. 
- B) is determined by management. 
- C) is remeasured into the reporting currency under the temporal method. 

Explanation

The basis for using the current rate method is when Functional Currency is NOT the same as Parent's Presentation (reporting) Currency. The basis for using the temporal method is when Functional Currency = Parent's Presentation Currency.

The local currency is remeasured into the functional currency under the temporal method. The functional currency is translated into the reporting currency using the current rate method.

(Module 10.1, LOS 10.a)

Question #40 of 82

Question ID: 1482619

The Schuldes Company had the following reported assets in euros at historical cost for the period ending December 31, 2005.

Cash	134
Accounts receivable	270
Inventory	404
Net fixed assets	<u>1347</u>
Total assets	2155

The exchange rate per euro was \$0.8734 on January 1, 2005 and \$0.9896 on December 31, 2005. The average exchange rate for the year 2005 was \$0.8925. The total assets of Schuldes using the current rate method are:

A) \$2,178.



B) \$1,923.



C) \$2,133.



Explanation

With the current rate method all balance sheet items except common stock use the current exchange rate to translate the functional currency into the reporting currency.

$$2155 \times \$0.9896 = \$2,133.$$

(Module 10.6, LOS 10.f)

Question #41 of 82

Question ID: 1472547

Hann Company is a U.S. multinational firm with operations in several foreign countries. Hann has a 100% stake in a French subsidiary. The foreign subsidiary's local currency has appreciated against the U.S. dollar over the latest financial statement reporting period. In addition, the French firm accounts for inventories using the first in, first out (FIFO) inventory cost-flow assumption. The gross profit margin as computed under the current rate method would *most likely* be:

A) equal to the gross profit margin as computed under the temporal method.



B) higher than the gross profit margin as computed under the temporal method.



C) lower than the gross profit margin as computed under the temporal method.



Explanation

The average rate is used to convert sales under both the temporal method and the current rate method. Hence, the only difference between the two computations is on cost of goods sold (COGS). Since the firm uses FIFO, older materials are flowing into COGS and an older exchange rate applies. Since in the past the foreign currency bought fewer dollars, the gross profit under the temporal method will be higher than that of the current rate method. It may help to 'think' that with the current rate method, you use the average rate for COGS, which makes COGS higher because the currency has appreciated.

(Module 10.6, LOS 10.f)

Question #42 of 82

Question ID: 1472564

In a hyperinflationary economy, translation under the current rate method will *most likely* result in relatively:

- A) low balance sheet values for long term liabilities.
- B) high balance sheet values for long term assets.
- C) high translation gains.



Explanation

In a hyperinflationary economy, translation under the current rate method will *most likely* result in relatively low balance sheet values for assets and liabilities. Translation losses will also occur.

(Module 10.7, LOS 10.g)

Question #43 of 82

Question ID: 1472495

Sycamore Systems sold \$5 million worth of software on December 1, 20X1 to a Japanese company with payment denominated in Japanese yen to be received in two months. Sycamore's year end is 31st December. Payment was received on 31 Jan 20X2.

Exchange rates	(1 USD)
1 Dec 20X1	95
31 Dec 20X1	90
31 Jan 20X2	35

The amount of transaction gain/loss recorded by Sycamore on its income statement for the year ending 31 Dec 20X1 is *closest* to:

A) loss of \$300,000.



B) gain of \$580,000.



C) gain of \$280,000.



Explanation

Sale amount = \$5 million $\times$ 95 = 475 million yen. Accounts receivable on sale date = \$5 million.

Accounts receivable at year-end = 475 million yen/90 = \$5.28 million

The appreciation of the yen resulted in a gain of \$280,000 on the balance sheet date and would be recognized in the income statement.

(Module 10.1, LOS 10.b)

Question #44 of 82

Question ID: 1472501

Which of the following general statements is *most* accurate with respect to the temporal method? Nonmonetary assets are translated at:

A) historical rates at the time of the transaction.



B) the average rate during the year.



C) the current rate.



Explanation

As a general rule in using the temporal method, nonmonetary assets are translated using the historical rate at the time of the transaction.

(Module 10.3, LOS 10.e)

Question #45 of 82

Question ID: 1472546

Which of the following ratios is affected by translation under the current rate method?

A) Debt/Assets ratio.



B) Fixed asset turnover ratio.



C) Net profit margin.



Explanation

Recall that all pure income statements and balance sheet ratios are unaffected by translation under the current rate method. The fixed asset turnover ratio is not a pure ratio; it consists of an income statement measure (sales, translated at the average rate) and a balance sheet measure (fixed assets, translated at the current rate).

(Module 10.6, LOS 10.f)

Deborah Ortiz, CFA[®], is the director of Global Research for F.E. Horton & Co. Ortiz recently hired two junior analysts, Tina Hiraue and Dominique Wilkins to assist in the financial statement analysis of global conglomerates. Hiraue and Wilkins are both Level II candidates in the CFA[®] Program, so Ortiz thought they would be the ideal people to work on a project dealing with consolidating the results of foreign operating units in the financial statements of the global parent.

Before starting on the project, Ortiz has a meeting with Hiraue and Wilkins to discuss the use of different currencies in a company's operations. At the meeting, Hiraue states that when analyzing multinational firms, there cannot be a difference between local and functional currencies. Wilkins disagrees with her and states that there can be a difference between local and functional currencies, but only if the parent of the subsidiary operates in a hyperinflationary environment. After another 30 minutes of discussion, Ortiz concludes the meeting by telling them to make sure they understand the different accounting rules for remeasurement and translation, under SFAS 52.

Hiraue and Wilkins are given projects involving two different firms:

- Molsan Industries is a Canadian multinational firm with a subsidiary in Japan. The subsidiary has operations in both Japan and Singapore.
- Neslarone is based in Switzerland and generates the majority of its cash in Swiss Francs (CHF). The firm issues and prepares its consolidated financial statements in U.S. dollars.

Hiraue and Wilkins spend the morning reviewing the details of their assignment and decide to take a break for lunch at a restaurant across the street from F.E. Horton & Co.'s headquarters. They agree that they have a challenging task and both are nervous about turning in their consolidated financial statements to Ortiz on the following day.

Question #46 - 49 of 82

Question ID: 1472491

Regarding the statements made at the meeting:

A) Hiraue's statement is incorrect; Wilkins' statement is correct.



B) Hiraue's statement is incorrect; Wilkins' statement is incorrect.



C) Hiraue's statement is correct; Wilkins' statement is correct.



Explanation

The basis for using the current rate method is when Functional Currency is NOT the same as Parent's Presentation (reporting) Currency. The basis for using the temporal method is when Functional Currency = Parent's Presentation Currency.

Hiraue and Wilkins both make incorrect statements regarding local and functional currencies. A foreign subsidiary may have a local currency but designate another currency as its functional currency. The functional currency is defined as the currency of the primary environment in which the subsidiary generates and expends cash, but the choice of the functional currency is ultimately a function of management's judgment. Wilkins is also incorrect because the rate of inflation does not necessarily have an impact on designated currencies.

(Module 10.1, LOS 10.a)

Question #47 - 49 of 82

Question ID: 1472492

Hiraue is working on consolidating the financial statements of Molsan Industries' Japanese subsidiary. Under SFAS 52, regarding *Foreign Currency Translation*, if:

more than half of the subsidiary's revenue is from Japanese sources, then the

A) results of the Singapore operation are translated into Japanese yen and then translated into Canadian dollars.



management determines that the subsidiary's functional currency is the

B) Japanese yen, the results of the Singapore operation are first remeasured into Japanese yen and then translated into Canadian dollars.



management determines that the subsidiary's functional currency is the

C) Singapore dollar, then the results of the Singapore operation are remeasured into Canadian dollars.



Explanation

The functional currency is determined by management. Financial data are remeasured into the functional currency chosen by management and then translated into the reporting currency.

(Module 10.1, LOS 10.a)

Question #48 - 49 of 82

Question ID: 1472493

Ortiz had told the junior analysts to make sure they understand the different accounting rules under SFAS 52. When referring to foreign exchange rates, the difference between remeasurement and translation is that remeasurement:

- refers to the conversion of local currency into the functional currency;
- A) translation is the conversion of the functional currency into the reporting currency.** 
- B) and translation refer to the same process of translating the functional currency into the reporting currency.** 
- C) is used to describe historical exchange rates while translation is used for current rates.** 

Explanation

Translation is between functional and reporting currency. Remeasurement occurs between local and functional currencies.

(Module 10.1, LOS 10.a)

Question #49 - 49 of 82

Question ID: 1472494

Wilkins and Hiraue are working on constructing the consolidated statements for Neslarone. They know that after they convert from Swiss Francs (CHF) to U.S. dollars (USD), they will be left with a foreign currency adjustment that needs to be included on the financial statements. To convert from CHF to USD, the analysts should use the:

- A) current rate method and they should record the foreign currency adjustment on the balance sheet.** 
- B) current rate method and they should record the foreign currency adjustment on the income statement.** 
- C) temporal method and they should record the foreign currency adjustment on the income statement.** 

Explanation

Neslarone is based in Switzerland and generates the majority of its cash in CHF, meaning the local and functional currencies are both CHF. The firm issues financial reports in USD, so the dollar is the reporting currency. The process of converting from the functional currency to the reporting currency is translation and the correct method to use is the current rate method. When using the current rate method, the foreign currency adjustment is recorded in the equity section of the balance sheet.

(Module 10.1, LOS 10.a)

Question #50 of 82

Question ID: 1472530

At what exchange rate are revenues and accounts receivable translated under the current rate method?

	<u>Revenues</u>	<u>Accounts</u> <u>receivable</u>	
A)	Average rate	Current rate	
B)	Current rate	Current rate	
C)	Average rate	Historical rate	

Explanation

Under the current rate method, revenues are translated at the average rate; accounts receivable are translated at the current rate.

(Module 10.4, LOS 10.e)

Question #51 of 82

Question ID: 1472508

Dave Iverson, CFA, is analyzing the recently released financial statement of Global Corp., a large multinational manufacturing company with production facilities across Europe and Southeast Asia. The company's choice of functional currency is not disclosed, but Iverson does notice that Global Corp. does not have any cumulative translation adjustments (CTA) on its balance sheet. Which of the following statements is *most* accurate based upon Iverson's observation?

- A) The temporal method of foreign currency translation is used for at least some of its subsidiaries. 
- B) The current rate method of foreign currency translation is used exclusively. 
- C) The temporal method of foreign currency translation is used exclusively. 

Explanation

The choice of functional currency is the determining factor as to which method of foreign currency translation is utilized. If no CTA appears on the balance sheet, then the parent currency must be the functional currency for all of the company's subsidiaries and only the temporal method is used.

(Module 10.3, LOS 10.e)

Question #52 of 82

Question ID: 1472526

Which of the following statements regarding the foreign currency translation under US GAAP is *least* accurate? The functional currency is the:

- A) subsidiary's local currency for self-contained, independent foreign subsidiaries. 
- B) parent firm's home currency if the foreign subsidiary operates in a country with high inflation. 
- C) parent firm's home currency for self-contained independent foreign subsidiaries. 

Explanation

The basis for using the current rate method is when Functional Currency is NOT the same as Parent's Presentation (reporting) Currency. The basis for using the temporal method is when Functional Currency = Parent's Presentation Currency.

This statement is incorrect, both remaining statements are correct regarding rules that govern the determination of the functional currency of subsidiaries.

(Module 10.4, LOS 10.e)

Question #53 of 82

Question ID: 1472509

Each of the following items is considered a *monetary* asset or liability account under the temporal method for foreign currency translation *EXCEPT*:

- A) long-term debt. 

B) accounts payable.



C) inventory.



Explanation

The monetary asset and liability accounts under the temporal method are cash, accounts receivable, accounts payable, and long-term debt.

(Module 10.3, LOS 10.e)

Question #54 of 82

Question ID: 1472555

The U.S. dollar (i.e., the reporting currency) has been depreciating relative to the local currency over the past year. The use of the current rate method to translate a foreign subsidiary's financial statements to U.S. dollars will *most likely* have which of the following effects on return on equity (ROE) based on ending equity relative to what the ratio would have been without the effects of translation?

A) ROE will most likely rise.



B) ROE will most likely decline.



C) The impact of the depreciation of the US dollar on ROE is indeterminate.



Explanation

ROE = Net Income / Equity. Under the current rate method, the equity accounts as a whole are translated at the current rate whereas net income is translated at the average rate. Since the dollar is depreciating, each foreign currency unit is buying more dollars in the denominator relative to the numerator of the equation. Hence, the denominator is increasing and the ratio falls.

(Module 10.6, LOS 10.f)

Question #55 of 82

Question ID: 1472496

A U.S. firm owns a foreign subsidiary in France. In 2002, sales were EUR 1,000,000 and the USD/EUR exchange rate was 1.0620. In 2003, sales were EUR 1,100,000 and the exchange rate was 1.1417. What is the impact of the change in the value of the USD on the parent company's translated sales?

A) Sales will decrease by 7.5%.



B) Sales will increase by 18.25%.



C) Sales will increase by 7.5%.



Explanation

The increase in sales due to the appreciating EUR is measured as 7.5% $[= (1.1417 / 1.0620) - 1]$. Sales for the subsidiary rose 10% $[= (1,100,000 / 1,000,000) - 1]$ in the local currency (EUR). After translation the parent firm will report sales of USD 1,062,000 $(= \text{EUR } 1,000,000 \times 1.0620)$ for 2002 and USD 1,255,870 $(= \text{EUR } 1,100,000 \times 1.1417)$ for 2003.

Growth measured from the parent's perspective suggests sales rose 18.25% $[= (1,255,870 / 1,062,000) - 1]$, but this includes the growth rate in sales measured in the local currency *and* the rate of appreciation in the foreign currency, or $(1.10 \times 1.075) - 1 = 0.1825$. The question only asks for the impact of the change in the value of the USD.

(Module 10.2, LOS 10.c)

Question #56 of 82

Question ID: 1472488

Which of the following statements describing the choice of the functional currency is *least* accurate? The functional currency should be the same as the parent's reporting currency if the subsidiary is:

A) highly integrated with the parent where the local currency, prices, and some costs are controlled or restricted.



B) highly integrated with the parent where the local currency, prices, and some costs are not controlled or restricted.



C) mostly independent from the parent.



Explanation

The preferred functional currency for subsidiaries that are mostly independent of the parent is the local currency. For highly integrated subsidiaries (regardless of local conditions), or for subsidiaries operating in high-inflation environments, the parent's reporting currency should be used as the functional currency.

(Module 10.1, LOS 10.a)

Question #57 of 82

Question ID: 1472562

Which of the following measures is unaffected by the choice between translation under the current rate method and remeasurement under the temporal method?

A) Tax expense.



B) Cost of goods sold.



C) Equity.



Explanation

Taxes are converted at the same rate (average rate) under both methods. Equity under the temporal method is a mixed rate whereas under the current rate method it is at the current rate. COGS under the temporal method is at the historical rate and under the current rate method it is at the average rate.

(Module 10.6, LOS 10.f)

Wasson Brothers (WB) is a large U.S. based conglomerate with many subsidiaries in both the U.S. and abroad. One of WB's wholly-owned foreign subsidiaries, Kasamatsu Industries, is based in Japan. Kasamatsu manufactures a hugely successful line of trading cards, toys, and related products. All of Kasamatsu's operations and sales take place in Japan, and the corresponding transactions are denominated in Japanese yen. Additionally, Kasamatsu's books and records are all maintained in yen. WB reports its earnings in U.S. dollars. The history of the exchange rate between the dollar and the yen over the last two years is presented in the following table. Figures are presented in yen/\$.

Yen/Dollar Exchange Rate	
December 31, 2013	150
December 31, 2012	130
2013 Average	140
2012 Average	120
Exchange rate on date that 2013 dividends were declared by Kasamatsu	145
Exchange rate on date of stock issue and acquisition of fixed assets.	100

Shelly Jameson is an analyst with Henderson-Wells, an investment banking firm in New York, and is the chief analyst covering WB. She believes that the enormous success of the trading cards has contributed greatly to WB's bottom line. However, Jameson believes that this effect may be misstated in the company's financial statements because of the recent volatility in exchange rates. Many analysts at other investment banking firms have been raising their ratings on WB because of the recent earnings growth. Jameson, however, wants to be absolutely certain that these results are accurate and fully attributable to Kasamatsu's

hot new product and not a result of an exchange rate fluctuation. The following are the financial statements of Kasamatsu, stated in thousands of yen.

Financial Statements for Year Ending December 31, 2013		
(in thousands of yen)		
Statement of Income and Retained Earnings		
Sales		700,000
Expenses		
	Cost of Goods Sold (COGS)	280,000
	Depreciation	126,000
	SG&A	<u>77,000</u>
	Total Expenses	483,000
Earnings Before Taxes (EBT)		217,000
Income Tax Expense		<u>98,000</u>
Net Income		119,000
Retained Earnings: December 31, 2012		<u>250,000</u>
		369,000
Dividends		<u>58,000</u>
Retained Earnings: December 31, 2013 *		311,000
* Retained earnings on 12/31/2013 were US \$2 million		

Balance Sheet		
Assets		
	Cash and receivables	60,000
	Inventory	180,000
	Land	200,000
	Fixed assets	<u>346,000</u>
	Total assets	786,000

Liabilities and stockholders' equity		
	Liabilities	300,000
	Capital stock	175,000
	Retained earnings	<u>311,000</u>
	Total liabilities and stockholders' equity	786,000

Question #58 - 61 of 82

Question ID: 1472522

Jameson would like to examine WB's group accounts. What is the *most appropriate* exchange rate (yen/\$) to use in translating Kasamatsu's reported dividends into U.S. dollars?

- A) 150.
- B) 140.
- C) 145.



Explanation

Dividends are translated at the exchange rate that existed on the dividend declaration date.

(Module 10.4, LOS 10.d)

Question #59 - 61 of 82

Question ID: 1472523

If Jameson wishes to convert any of the figures on Kasamatsu's Income Statement from yen to dollars, she should *most appropriately* use which of the following exchange rates (yen/\$)?

- A) 140.
- B) 145.
- C) 150.



Explanation

Under the current rate method, all items in the income statement would be translated at the average rate or 140JPY/USD. Because this question is asking only for translating sales, the average rate would be used even under the temporal method.

(Module 10.4, LOS 10.d)

Question #60 - 61 of 82

Question ID: 1472524

Jameson has finally completed translating all the necessary figures into dollars and now wants to compute by how much WB's reported sales in dollars will change due to Kasamatsu's sales. Which of the following is *closest* to the amount of sales that WB will report as a result of Kasamatsu's operations (in thousands of dollars)?

A) \$4,828.



B) \$5,000.



C) \$4,667.



Explanation

The current rate method is used when the Functional Currency is NOT the same as the Parent's Presentation (reporting) Currency. The basis for using the temporal method is when the Functional Currency = the Parent's Presentation Currency.

Because sales as a financial item is on the income statement, the 2013 average exchange rate of 140 JPY/USD must be used to calculate sales in the reporting currency. Kasamatsu's sales were JPY 700,000. The calculation is:

$$\frac{700,000\text{¥}}{140\text{¥}/\$} = \$5,000$$

WB will report \$5,000 of sales as a result of Kasamatsu's operations.

(Module 10.4, LOS 10.d)

Question #61 - 61 of 82

Question ID: 1472525

Before Jameson can perform any financial statement analysis, she wants to determine which method WB uses to translate Kasamatsu's earnings into U.S. dollars (USD). Which of the following is the *most* accurate translation method and reasoning? WB should translate Kasamatsu's earnings using the:

- A) current rate method because the local currency is the USD. 
- B) temporal method because the local currency differs from the functional currency. 
- C) current rate method because the functional currency is the yen. 

Explanation

The current rate method is used when the functional currency is NOT the same as parent's presentation (reporting) currency. The temporal method is used when Functional Currency = Parent's Presentation Currency.

Under US GAAP the current rate method must be used to translate Kasamatsu's yen financial statements into USD, the reporting currency. Had Kasamatsu been operating in a highly inflationary environment or had the local and functional currency not been the same, then WB would be required to use the temporal method.

(Module 10.4, LOS 10.d)

Question #62 of 82

Question ID: 1472502

Which of the following statements regarding the translation of a foreign subsidiary into the reporting currency is *most* accurate?

- A) If the reporting currency is the functional currency, the temporal method is applied and exposure is equal to net monetary assets. 
- B) A multinational firm with small liability balances generally has minimal foreign currency exposure on its balance sheet. 
- C) If the functional currency is equal to the local currency, exchange gains and losses on translation will be recognized in the income statement. 

Explanation

The choice of functional currency is the determining factor as to which method of foreign currency translation is utilized. Therefore, when the reporting currency is the functional currency, the temporal method must be used. The choice of functional currency is largely left to management's discretion.

(Module 10.3, LOS 10.e)

Question #63 of 82

Question ID: 1472531

Which of the following statements regarding the functional currency under US GAAP is *least* accurate?

- A) Self-contained, independent subsidiaries whose operations are primarily located in the local market will use the local currency as the functional currency. 
- B) If a firm operates in a country or environment which is subject to cumulative inflation of 100% or more over a three year period, that firm will use the parent's currency as the functional currency. 
- C) The functional currency is defined as the primary currency of the economic environment in which the parent firm operates. 

Explanation

The basis for using the current rate method is when Functional Currency is NOT the same as Parent's Presentation (reporting) Currency. The basis for using the temporal method is when Functional Currency = Parent's Presentation Currency.

The functional currency is defined as the primary currency of the economic environment in which the *foreign subsidiary* operates.

(Module 10.4, LOS 10.e)

Question #64 of 82

Question ID: 1472567

The nation of Deadoa is experiencing hyperinflation. A subsidiary of a multinational operating in Deadoa will notice changes in its purchasing power and in its financial results as reported on its parent company's financial statements. Which of the following best describes the situation for a subsidiary operating in Deadoa? Purchasing power will:

- A) dramatically appreciate and the local currency will be rapidly appreciating against the presentation currency. 
- B) quickly deteriorate and the local currency will be rapidly appreciating against the presentation currency. 
- C) quickly deteriorate and the local currency will be rapidly depreciating against the presentation currency. 

Explanation

Purchasing power *and* Deadoa currency will depreciate.

(Module 10.7, LOS 10.g)

Question #65 of 82

Question ID: 1472572

Sopgate is a manufacturer of branded fast moving consumer goods having business operations in 28 countries (in each country, Sopgate has a wholly owned local subsidiary for production and/or distribution). Following information is available from Sopgate's annual report:

Region	Revenue Growth (USD)*	Growth in pre-tax profits (USD)*	Tax rate
Latin America	5%	4%	25%
North America	3%	3%	35%
Europe	2%	-1%	45%
Asia pacific	4%	6%	20%

*Growth rate indicates expected growth rate over the next five years.

Sopgate's effective tax rate is *most likely* expected to:

A) increase.



B) decrease.



C) remain unchanged.

**Explanation**

Sopgate's profits are expected to grow at a faster rate for lower tax rate regions as compared to higher tax regions. Hence the effective tax rate can be expected to decrease.

(Module 10.8, LOS 10.h)

Question #66 of 82

Question ID: 1472571

Which translation method should be used under a hyperinflationary economy when using U.S. GAAP?

A) Monetary/non-monetary, because all monetary accounts are translated at the historical rate.



B) Temporal, because all non-monetary accounts are re-measured at the historical rate.



- C) All-current, because dividends are translated at the rate that applied when they were issued.



Explanation

The temporal method is more appropriate because all non-monetary accounts are remeasured at the historical rate. Under IFRS, the financials would be restated for inflation, and then translated under the current rate method.

(Module 10.7, LOS 10.g)

Question #67 of 82

Question ID: 1472527

Which of the following general statements is *most* accurate with respect to the current rate method? Revenues:

- A) and operating expenses are translated at the average rate.
- B) and operating expenses are translated at the current rate.
- C) are translated at the average rate while operating expenses are translated at the current rate.



Explanation

As a general rule for the current rate method, all revenues and operating expenses are translated using the average rate.

(Module 10.4, LOS 10.e)

Question #68 of 82

Question ID: 1472557

Which of the following subsidiary ratios will be affected by the translation adjustment under the current rate method?

- A) Gross margin.
- B) Net profit margin.
- C) Return on equity.



Explanation

The translation adjustment will affect the book value of equity and therefore the return on equity ratio. The other ratios are pure ratios (both component of the ratio come from the income statement) and are not affected by translation.

(Module 10.6, LOS 10.f)

The Precision Screen Printers (PSP) Company has a foreign subsidiary, the Acer Tool & Die Company, located in the country of Rolivia. The currency of Rolivia is the Chad. The balance sheet and income statement of Acer Tool & Die Company for the year-ended December 31, 2005, is shown below. The balance sheet has been restated using the U.S. dollar as the functional currency.

Acer Tool & Die Company Balance Sheet As of December 31, 2005			
	Chad	Exchange Rate	U.S. \$
	(millions)	(Chad/US\$)	(millions)
Cash	20	0.25	\$80
Accounts receivable	30	0.25	120
Inventory	100	0.3125	320
Fixed assets (net)	<u>500</u>	0.3333	<u>1,500</u>
Total assets	650		\$2,020
Accounts payable	50	0.25	\$200
Capital stock	380	0.3333	1,140
Retained earnings	<u>220</u>	--	<u>680</u>
Total liabilities and equity	650		\$2,020

Acer Tool & Die Company Income Statement	
For year ending December 31, 2005	
(Amounts in millions of Chad)	
Revenues	1,000
Cost of sales	700
Depreciation expense	50

Selling expense	<u>30</u>
Translation gain (or loss)	
Net income	220

Acer has determined that the exchange rate exposure at the beginning of 2005 is –260 Chad.

The exchange rate at the beginning of 2005 was 0.3333 Chad/US\$ and that is the historical rate applicable to beginning inventory of 90 Chad. The exchange rate at the end of 2005 was 0.25 Chad/US\$. The average rate for 2005 is 0.3125 Chad/US\$. Purchases occurred evenly throughout the year. Acer Tool & Die uses FIFO inventory valuation and depreciates fixed assets using the straight-line method. Assume that retained earnings at year end 2004 were zero, the historical exchange rate for depreciation is 0.333, and no dividends were paid during 2005.

Question #69 - 70 of 82

Question ID: 1472553

What is Acer Tool & Die's cost of sales in U.S. dollars using the temporal method?

- A) \$2,240.00
- B) \$2,242.00
- C) \$2,222.00



Explanation

Purchases = COGS – Beginning inventory + ending inventory = 710 Chad

	Chad	Conversion	US\$
Beginning inventory	90	0.3333	\$270
Purchases	710	0.3125	2,272
Ending inventory	100	0.3125	<u>320</u>
COGS	700		\$2,222

(Module 10.6, LOS 10.f)

Question #70 - 70 of 82

Question ID: 1472554

What is the remeasurement gain or loss for the period using the temporal method?

A) \$52 loss.



B) \$50 gain.



C) \$32 loss.



Explanation

Remeasured income statement under temporal method:

$$\text{Revenues} = 1000 / 0.3125 = 3200$$

$$\text{COGS} = 2222 \text{ (from previous question)}$$

$$\text{Depreciation} = 50 / 0.3333 = 150$$

$$\text{Selling expense} = 30 / 0.3125 = 96$$

$$\text{Income before remeasurement gain} = 3200 - 2222 - 150 - 96 = 732$$

$$\text{Net income} = 680 \text{ (= retained earnings at year end 2005 - retained earnings at year end 2004)}$$

$$\text{Remeasurement gain/loss} = 680 - 732 = -52$$

(Module 10.6, LOS 10.f)

Question #71 of 82

Question ID: 1472499

Edmonton Oilfield Supply has made an equipment sale in Venezuela in the amount of VEF 15,000,000. On the day of the sale, the exchange rate is 1.7519 VEF per 1 Canadian dollar. 90 days later, when the Venezuelan firm pays for the equipment, the exchange rate is 1.6326. As a result of the change in the exchange rate, Edmonton will recognize a:

A) gain of \$625,666.



B) gain of \$1,096,104.



C) loss of \$1,789,500.



Explanation

On the day of the sale, Edmonton will record an account receivable of $15\text{m} / 1.7519 = \$8,562,133$. When the payment is received and converted to CAD, the realized amount will be $15\text{m} / 1.6326 = \$9,187,799$. As a result of the appreciating VEF, Edmonton will realize a gain of $\$9,187,799 - \$8,562,133 = \text{CAD } 625,666$.

(Module 10.2, LOS 10.c)

Question #72 of 82

Question ID: 1472543

Hann Company is a U.S. multinational firm with operations in several foreign countries. Hann has a 100 percent stake in a French subsidiary. The foreign subsidiary's local currency has appreciated against the U.S. dollar over the latest financial statement reporting period. In addition, the French firm accounts for inventories using the FIFO inventory cost-flow assumption. The net profit margin as computed under the current rate method would *most likely* be:

- A) lower than the same ratio computed under the temporal method. 
- B) either higher or lower than the same ratio computed under the temporal method. 
- C) higher than the same ratio computed under the temporal method. 

Explanation

The foreign currency gain or loss appears on the income statement under the temporal method. Hence, to make any determinations regarding the movements of this ratio, we need more information regarding the net monetary asset or liability position as of both the beginning and ending balance sheet date.

(Module 10.6, LOS 10.f)

Question #73 of 82

Question ID: 1472550

The U.S. dollar has been depreciating relative to the local currency over the past year. The use of the current rate method to translate a foreign subsidiary's financial statements to U.S. dollars will *most likely* have which of the following effects on the operating profit margin (EBIT/S) relative to what the ratio would have been without the effects of translation?

- A) There will be no effect on the ratio. 
- B) The ratio will rise. 
- C) The ratio will fall. 

Explanation

Under the current rate method, the average rate is applied to all income statement accounts. Hence, since the average rate is applied to both numerator and denominator of the equation and the ratio will not change.

(Module 10.6, LOS 10.f)

Question #74 of 82

Question ID: 1472500

Which of the following situations does *NOT* require the use of the temporal method? The:

- A) foreign subsidiary is operating in a highly inflationary economy. 
- B) local currency is the functional currency. 
- C) functional currency is some currency other than the local currency or the U.S. dollar. 

Explanation

The basis for using the current rate method is when Functional Currency is NOT the same as Parent's Presentation (reporting) Currency. The basis for using the temporal method is when Functional Currency = Parent's Presentation Currency.

The temporal method is not required in the situation when the local currency is the functional currency.

(Module 10.3, LOS 10.e)

Question #75 of 82

Question ID: 1472566

Which of the following asset or liability values is likely to be the *most* understated in a hyperinflationary economy if translation occurs under the current rate method?

- A) A plant purchased several years ago. 
- B) Dividends payable. 
- C) Accounts receivable. 

Explanation

The accounts receivable and dividends payable will each have book values that are closer to their market values than a plant purchased many years ago.

(Module 10.7, LOS 10.g)

Question #76 of 82

Question ID: 1472542

The Herlitzka Company, a U.S. multinational firm, has a 100 percent stake in a Swiss subsidiary. The U.S. dollar (USD) has been determined to be the functional currency. All the common stock of the subsidiary was issued at the beginning of the year and the subsidiary uses the weighted-average inventory cost-flow assumption. In addition, the value of the SF is as follows:

Beginning of year	\$0.5902
Average throughout the year	\$0.6002
End of year	\$0.6150

The SF-based balance sheet and income statement data for the Swiss subsidiary are as follows:

Accounts receivable	= 3,000
Inventory	= 4,000
Fixed assets	= 12,000
Accounts payable	= 2,000
Long-term debt	= 5,000
Common stock	= 10,000
Retained earnings	= 2,000
Net income	= 2,000

The remeasured value of accounts receivable and inventory respectively are *closest* to:

A) \$1,845 and \$2,401.



B) \$1,845 and \$2,361.



C) \$1,771 and \$2,361.



Explanation

The basis for using the current rate method is when Functional Currency is NOT the same as Parent's Presentation (reporting) Currency. The basis for using the temporal method is when Functional Currency = Parent's Presentation Currency.

Since the USD is the functional currency, use the temporal method. Under the temporal method, inventory is remeasured using the historical rate. However, our best guess of the historical rate under the weighted average inventory cost-flow assumption is the average rate through the period. Hence, $A/R = \$0.615 \times 3,000 = \$1,845$ and $Inventory = \$0.6002 \times 4,000 = \$2,401$.

(Module 10.6, LOS 10.f)

Della Air Lines has recently acquired Australian Puddle Jumpers, Inc. (APJ), a small airline located in Sydney. The Australian dollar has been chosen by Della as the functional currency for APJ. The balance sheet of APJ is given below as of Dec. 31, 2011 in U.S. dollars.

Assets		Liabilities and Equity	
Cash	\$100	Accounts Payable (A/P)	\$90
Accounts Receivable (A/R)	120	Common Stock	360
Maintenance Supplies	90		
Fixed Assets	140		
Total Assets	\$450	Total Liabilities & Equity	\$450

APJ's income statement for the year ending Dec. 31, 2012 is expressed in Australian dollars as:

Sales	3,500
Total Costs	<u>2,900</u>
Net Income	600

The Australian dollar has steadily depreciated against the U.S. dollar. At Dec. 31, 2011, the exchange rate was A\$/US\$ 2.50, the average rate during the year was A\$/US\$ 2.75 and A\$/US\$ 3.0 on Dec. 31, 2012.

The Dec. 31, 2012 Balance Sheet for APJ is given in Australian dollars as follows:

Assets		Liabilities and Equity	
Cash	441	A/P	210
A/R	330	Common Stock	720
Supplies	291	Retained Earnings	600
Fixed Assets	468		
Total Assets	<u>1,530</u>	Total Liabilities & Equity	<u>1,530</u>

Question #77 - 80 of 82

Question ID: 1472512

On APJ's 2012 income statement, the level of sales in U.S. dollars would be *closest* to:

A) \$1,985.



B) \$1,272.



C) \$1,377.



Explanation

The basis for using the current rate method is when Functional Currency is NOT the same as Parent's Presentation (reporting) Currency. The basis for using the temporal method is when Functional Currency = Parent's Presentation Currency.

Since the Australian dollar is the functional currency, use the current rate method. The items in the income statement are translated at the *average* exchange rate. The average rate is $(2.5 + 3) / 2 = 2.75$ Australian dollars per = US\$.

Income Statement (in \$)

Sales (3,500 / 2.75)	\$1,272
Costs (2,900 / 2.75)	<u>\$1,055</u>
Net Income	\$217

(Module 10.4, LOS 10.d)

Question #78 - 80 of 82

Question ID: 1472513

On APJ's 2012 balance sheet, the level of accounts receivable is U.S. dollars would be *closest* to:

A) \$110.



B) \$132.



C) \$330.



Explanation

Since we are using the current rate method, all balance sheet accounts are translated at the current exchange rate, except for the common stock account, which is translated at the historical rate.

$$A/R: (330 / 3) = 110$$

(Module 10.4, LOS 10.d)

Question #79 - 80 of 82

Question ID: 1472514

For APJ, the conversion to US\$ is *most likely* to result in:

- A) remeasurement gain.
- B) cumulative translation adjustment loss.
- C) cumulative translation adjustment gain.

**Explanation**

APJ shows a net asset:

Total assets	A\$1,530 / (3.00 A\$/US\$) = US\$510
Total liabilities	A\$210 / (3.00 A\$/US\$) = US\$70
Net asset	= US\$440

Because the functional currency is the local currency, the current rate method is used. When we have a net asset balance sheet exposure, a weakening foreign currency will result in a negative translation adjustment. APJ's net asset position will result in a cumulative transaction adjustment loss as the foreign currency, the A\$, is depreciating.

Exposure	Foreign Currency	
	Appreciating	Depreciating
Current rate method:	Appreciating	Depreciating
Net assets	Gain	Loss
Net liabilities	Loss	Gain

(Module 10.4, LOS 10.d)

Question #80 - 80 of 82

Question ID: 1472515

If the functional currency is the reporting currency, the exposure and the foreign currency movements are *most likely* to result in a:

- A) remeasurement loss.
- B) cumulative translation adjustment loss.
- C) remeasurement gain.

**Explanation**

APJ has a net monetary asset exposure:

Total monetary assets: Cash + A/R A\$771 / (3.00 A\$/US\$) = US\$257

Total monetary liabilities: A\$210 / (3.00 A\$/US\$) = US\$70

Net monetary asset = US\$187

Because the functional currency is the reporting currency, the temporal method is used and this means there is remeasurement – a loss as the foreign currency, the A\$, is depreciating.

Exposure	Foreign Currency	
	Appreciating	Depreciating
Temporal method:	Appreciating	Depreciating
Net monetary assets	Gain	Loss
Net monetary liabilities	Loss	Gain

(Module 10.4, LOS 10.d)

Question #81 of 82

Question ID: 1472505

Which of the following general statements is *CORRECT* with respect to the temporal method? Revenues and operating expenses (excluding COGS) are translated at the:

A) current rate.



B) historical rate.



C) average rate.



Explanation

As a general rule for the temporal method, all revenues and operating expenses (excluding COGS) are translated using the average rate.

(Module 10.3, LOS 10.e)

Question #82 of 82

Question ID: 1472533

An important distinction between the temporal method and the current rate method is that:

depreciation and cost of goods sold (COGS) are a function of the current rate

- A)** under translation (current rate method), but a function of the average rate under remeasurement (temporal method). 

the current rate method results in an adjustment to the equity account on the

- B)** balance sheet. The temporal method results in a gain or loss appearing on the income statement. 

- C)** monetary assets and liabilities are remeasured (temporal method) at historical rates but translated (current rate method) at current rates. 

Explanation

The current rate method results in an adjustment to the equity account on the balance sheet. The temporal method results in a gain or loss appearing on the income statement. Depreciation and COGS are a function of the average rate under the current rate method, but a function of the historical rate under the temporal method. Monetary assets and liabilities are use the current rates under both methods.

(Module 10.4, LOS 10.e)